

which results in no real negotiation and an absence of meaningful choice. Surprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position.” (*Id.*) “[A] finding of procedural unconscionability does not mean that a contract will not be enforced, but rather that courts will scrutinize the substantive terms of the contract to ensure they are not manifestly unfair or one-sided.” (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1244.)

Plaintiffs argue that the arbitration agreements are procedurally unconscionable because the RISC arbitration agreement was a contract of adhesion. However, the Order arbitration agreement (which is the primary agreement that Defendant seeks to enforce) contains an opt-out agreement. Accordingly, this argument fails. Furthermore, even with regards to the RISC’s adhesion contract, courts have consistently held that an arbitration agreement’s adhesive nature will not alone invalidate the agreement. Instead, an adhesive contract is one factor a court may consider in deciding degree of procedural unconscionability. (See *Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84.)

Plaintiffs also argue that the arbitration agreement is procedurally unconscionable because Defendant did not provide a copy of the arbitration rules. The Order arbitration agreement, however, includes a link to adr.org which would direct Plaintiffs to a copy of the American Arbitration Association (AAA) rules. (See *Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 691 [failure to attach AAA rules did not render agreement procedurally unconscionable, as referenced rules were easily accessible on the Internet].) Accordingly, the court does not find procedural unconscionability with regards to the Order arbitration agreement, and only some procedural unconscionability with regards to the RISC arbitration agreement.

b. Substantive Unconscionability

Plaintiffs argue that the agreement is substantively unconscionable because the arbitration provision provides: “The party electing arbitration may choose any of the following arbitration organization and its applicable rules....”. (Opp., 6:10-11). However, it is unclear which arbitration agreement Plaintiffs are referring to, as neither the Order arbitration agreement nor the RISC arbitration agreement contain this language. The Order arbitration agreement specifically provides that arbitration will be administered by the AAA and subject to AAA rules. (Ex. 1 to Kim Decl.).

Plaintiffs cite to *Chavarria v. Ralphs* (9th Cir. 2013) 733 F.3d 916 in support of their argument that where Tesla may elect both to arbitrate in the first place, and choose the forum and the rules, it renders the agreement unconscionable. However, this argument is misplaced. In *Chavarria*, the arbitration agreement had numerous one-sided terms, including the arbitrator selection process itself, which “invariably” resulted in the selected arbitrator being one nominated by the employer:

[The arbitrator selection provision] provides that, unless the parties agree otherwise, the arbitrator must be a retired state or federal judge. It explicitly prohibits the use of an administrator from either the American Arbitration Association ("AAA") or the Judicial Arbitration and Mediation Service ("JAMS").

If the parties do not agree on an arbitrator, the policy provides for the following procedure:

- (1) Each party proposes a list of three arbitrators;
- (2) The parties alternate striking one name from the other party's list of arbitrators until only one name remains;
- (3) The party "who has not demanded arbitration" makes the first strike from the respective lists; and
- (4) The lone remaining arbitrator decides the claims.

In practice, the arbitrator selected through this process will invariably be one of the three candidates nominated by the party that did not demand arbitration. (*Chavarria, supra* at 920.)

The *Chavarria* court upheld the district court's finding that the arbitrator selection provision was substantively unconscionable, because it "would always produce an arbitrator proposed by Ralphs in employee-initiated arbitration proceedings," as well as precluding "institutional arbitration administrators, namely AAA or JAMS, which have established rules and procedures to select a neutral arbitrator." (*Id.* at 923.) However, in the instant case, there is no such unconscionable provision regarding arbitrator selection. Rather, the arbitration provision in the Order arbitration agreement (Ex. 1 to Kim Decl.) requires arbitration before AAA, and the arbitration provision in the RISC (Ex. 2 to Kim Decl.) provides for arbitration before AAA or another organization agreed to by the parties.

The *Chavarria* court also found the arbitration agreement there unconscionable because it required the employee to split arbitration fees, subject to reimbursement if requested. (*Id.* at 923.) Here, there is no such requirement.

Next, Plaintiffs argue that the arbitration-cost provisions are substantively unconscionable and violate both State law and the minimum due process standards for consumer arbitrations. However, Plaintiffs do not specify which arbitration agreement contains this offending language, nor do Plaintiffs cite to any specific provision. Plaintiffs argue: "This serves to benefit the more financially-capable manufacturer and discourages, or even prevents, buyers from seeking to enforce their legal rights, as buyers are potentially faced with bearing exorbitant arbitration costs and expenses they may have to reimburse to Tesla (along with potentially suffering ongoing costs of repair to the defective vehicle at issue), resulting in substantive unconscionability. Arbitration would impose prohibitive costs on Plaintiffs, and, combined with the other substantive and procedurally unconscionable aspects, this renders the Arbitration Provision unenforceable." (Opp., 7:5-12).